Contributors: @Kateryna Haskova @Iuliana Stepiuk

Table of Contents | maxLe

Info | Pre-Work

To run effective Risk Management, please get familiar with the Pre-Work to be done - FF / Delivery intake.

The primary purpose of the risk management process is to address uncertainties and potential challenges strategically and organizationally proactively. The risk management process provides a structured framework for organizations and projects to navigate uncertainties and complexities while maximizing the likelihood of achieving desired outcomes. It's integral to effective project and organizational management, contributing to success, sustainability, and growth.

To effectively manage these risks, it's essential to conduct a thorough risk assessment specific to your fixed-price project, develop appropriate mitigation strategies, and establish clear processes for risk monitoring and response. By addressing these risks proactively, you can increase the likelihood of project success and mitigate the potential negative impacts on budget, schedule, and quality.

Risk Management Process

Div | class = flex-row

Div | class = flex-col flex-col-4

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">1. Identification</strong>
```

Purpose: Identify potential risks affecting the project's scope, budget, schedule, and quality.

Considerations: Focus on risks related to scope changes, inaccurate assumptions, unrealistic estimates, dependencies, resource availability, external factors, and any other variables that could impact the fixed-price project.

Importance: Early identification of risks allows for proactive planning and mitigation strategies, reducing the chances of budget overruns and missed deadlines.

Div | class = flex-col flex-col-4

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">2. Assessment</strong>
```

Purpose: Evaluate the potential impact and likelihood of each identified risk.

Considerations: Quantify the potential cost and schedule impact of each risk. Assess the likelihood of the risk occurring and its potential consequences.

Importance: Assessing risks helps prioritize them based on their potential impact, allowing the project team to allocate resources effectively and address the most critical risks first.

Div | class = flex-col flex-col-4

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">3. Mitigation Planning</strong>
```

Purpose: Develop strategies to minimize or eliminate the impact of identified risks.

Considerations: Create specific action plans for each high-priority risk. Determine preventive measures to reduce the likelihood of risks occurring and contingency plans to address risks if they do materialize.

Importance: Properly planned and documented mitigation strategies provide a roadmap for responding to risks and help maintain project stability.

Div | class = flex-col flex-col-4

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">4. Monitoring and Control</strong>
```

Purpose: Continuously track and manage identified risks throughout the project lifecycle.

Considerations: Regularly review and update the risk register. Implement risk-response actions as needed. Monitor changes in risk likelihood and impact and adjust mitigation plans accordingly.

Importance: Ongoing risk monitoring ensures that the project team is aware of changing circumstances and can take timely actions to mitigate risks, reducing the chances of negative outcomes.

Div | class = flex-row

Div | class = flex-col flex-col-3

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">5. Change Management and Scope Control</strong>
```

Purpose: Manage changes in project scope that may arise due to risk events.

Considerations: Assess the impact of each risk event on the project scope. Determine whether changes are within the original scope or require formal change requests.

Importance: Clearly defining how risk-related scope changes will be managed helps prevent scope creep and ensures that changes are properly evaluated and approved.

Div | class = flex-col flex-col-3

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">6. Communication and Stakeholder
Engagement</strong>
```

Purpose: Keep stakeholders informed about project risks and mitigation efforts.

Considerations: Establish a clear communication plan to share risk information with stakeholders. Provide updates on risk status and any changes to mitigation strategies.

Importance: Transparent communication builds trust among stakeholders and allows for informed decision-making in response to potential risks.

Div | class = flex-col flex-col-3

Div | class = content-block

Div | class = content-block__text

HTML

```
<strong class="h3">7. Lessons Learned</strong>
```

Purpose: Capture lessons learned from risk events and mitigation efforts.

Considerations: Document the outcomes of risk events, the effectiveness of mitigation strategies, and any new insights gained.

Importance: Lessons learned contribute to organizational knowledge, helping improve future risk management processes and enhancing the overall project management approach.

In a fixed-price project model, effective risk management is crucial to ensure the project is delivered within budget and on schedule. By proactively identifying, assessing, and mitigating risks, project teams can minimize the likelihood of cost overruns, scope changes, and other adverse outcomes, ultimately increasing the chances of project success and client satisfaction.

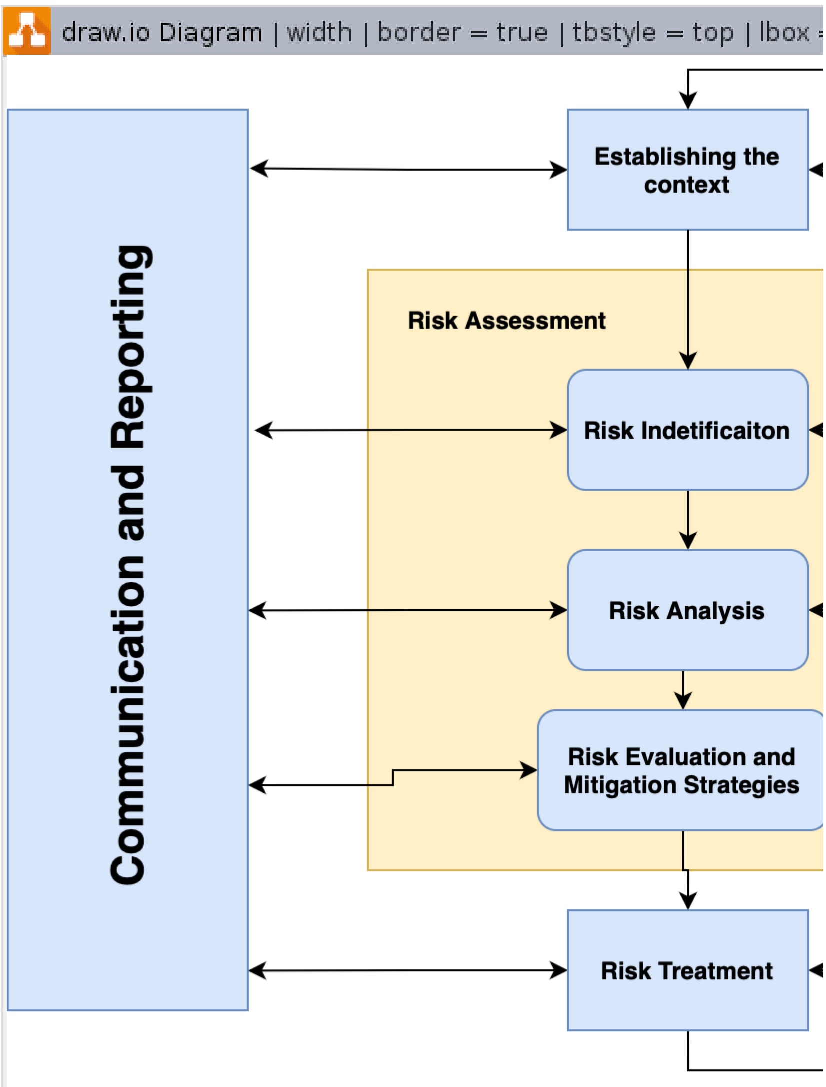
> ⓘ Info
>
> Please check available templates for areas above mentioned: Project Management Templates

Risk Management Flow by Stages

This risk management flow provides a structured approach to identifying, assessing, mitigating, and monitoring risks throughout the lifecycle of a fixed-price project. By following these stages, you can enhance your project's ability to anticipate and address potential challenges, ensuring successful project delivery within the fixed budget and timeline.

Stage	Activities	Details
Project Initiation and Planning	**Identify Project Objectives and Scope**	• Clearly define project goals, deliverables, and scope boundaries. • Identify potential risks impacting scope, cost, schedule, and quality.
	Risk Identification	• Brainstorm with the project team to identify risks specific to the fixed-price model. • Document risks in a risk register, including descriptions, potential impacts, and root causes.
	Risk Categorization and Prioritization	• Categorize risks into scope, schedule, cost, resource, external factors, etc. • Prioritize risks based on their potential impact and likelihood.
Risk Assessment and Mitigation Planning	**Risk Assessment**	• Quantify the potential impact and likelihood of each identified risk. • Assign risk scores to prioritize risks for further attention.
	Risk Analysis	• Analyze the root causes and contributing factors of high-priority risks. • Assess the potential consequences of risk events on project objectives.
	Mitigation Strategies	• Develop specific action plans for addressing high-priority risks. • Define preventive measures to reduce the likelihood of risks occurring. • Establish contingency plans to address risks if they materialize.
Risk Response and Implementation	**Risk Mitigation Execution**	• Implement the identified mitigation strategies and actions. • Allocate resources and responsibilities for executing risk responses..
	Change Management	• Establish a change control process to evaluate and approve scope changes resulting from risk events. • Monitor and manage any scope adjustments within the fixed-price constraints.
	Communication	• Communicate risk response plans to relevant stakeholders. • Provide regular updates on risk management progress.

Risk Monitoring and Control	**Risk Tracking**	• Continuously monitor the status of identified risks. • Update the risk register with new information and change
	Trigger Identification	• Define triggers or indicators that signify a risk is materializing. • Establish thresholds for triggering predefined responses.
	Response Evaluation and Adjustment	• Review the effectiveness of implemented risk responses. • Adjust mitigation strategies based on changing circumstances or new information.
Lessons Learned and Continuous Improvement	**Lessons Learned**	• Document outcomes and lessons learned from risk events. • Capture insights into the effectiveness of mitigation measures.
	Feedback and Process Improvement	• Incorporate lessons learned into future risk management processes. • Continuously improve risk management practices based on project experiences.
	Project Closure	• Conduct a final review of risk management efforts during project closure. • Document key takeaways and recommendations for future projects.



Fixed-Price Related Risks

Here are some specific risks that are often associated with fixed-price projects:

Business	Technical	Internal	External
1. **Scope Creep:** Changes in project scope that are not properly managed can lead to scope creep, where additional work is requested without a corresponding increase in budget. This can strain resources, delay the project, and lead to cost overruns. 2. **Inaccurate Requirements:** Misunderstood or poorly defined requirements can lead to rework, delays, and increased costs. It's critical to have a comprehensive and clear understanding of project requirements upfront. 3. **Client-Induced Delays:** Clients may delay decision-making, feedback, or approvals, causing project delays and affecting the project schedule. 4. **Market or Regulatory Changes:** Changes in market conditions or regulations can impact project viability or require modifications to the project plan, potentially leading to delays and additional costs. 5. **Change Management Resistance:** Stakeholders within the organization may resist adopting	1. **Estimation Errors:** Incorrect estimation of effort, time, or costs can lead to underestimation, resulting in budget shortfalls or missed deadlines. 2. **Technology and Infrastructure Challenges:** Technical issues, compatibility problems, or infrastructure limitations can hinder project execution and lead to unexpected costs.	1. **Resource Constraints:** Insufficient or unavailable resources, such as skilled personnel or necessary tools, can hinder project progress and quality. This is especially concerning in a fixed-price model where the budget may not allow for additional resources. 2. **Quality Compromises:** Pressure to meet fixed-price constraints might lead to compromises in quality assurance and testing processes, resulting in subpar deliverables. 3. **Communication Breakdowns:** Inadequate communication among project stakeholders, including team members, clients, and vendors, can lead to misunderstandings and misaligned expectations. 4. **Unexpected Risks:** Risks not originally identified during the risk assessment stage may emerge during project execution, requiring immediate attention and resources.	1. **Unforeseen Dependencies:** External dependencies, such as third-party vendors or regulatory approvals, can impact project progress. Delays in obtaining these dependencies can lead to schedule disruptions. 2. **Supplier or Vendor Issues:** Dependency on suppliers or vendors for critical components or services can expose the project to their operational challenges, delays, or quality issues. 3. **Poor Procurement:** Potential issues that can arise during the process of obtaining goods, services, or resources required for a project. Specifically could refer to the unconsidered license obtainment for tools and software.

changes introduced by the project, affecting the project's success and adoption. 6. **Economic Fluctuations:** Changes in economic conditions, such as currency exchange rates or inflation, can impact the project's budget and procurement costs. 7. **Contractual Ambiguities:** Ambiguities or misunderstandings in the project contract, terms, or deliverables can lead to disputes and legal complications.			

Reference links to KB

- How to start doing real risk management in a project
- Exemplar of Risk Sources Categorization
- Template: Project Risk List
- High Risk Contracts Program

Tools & Templates

- In perfect case, all risks are managed using: **Delivery Central.**
- When using of Delivery Central Risks module is not allowed by some reasons, please refer to **Ethics & Compliance - Template: Project Risks List.**

Hints

- Often the whole process tracking is run within the Customer's tracking tool. Please double-check and confirm risk log repository with the Account Management team (especially, for risks, which should be reviewed and mitigated internally by EPAM).
- Have a backup plan for your documentations. It is a usual case, when project related documentation is stored in Customer's systems only. Make sure, that in case the access to Customer's systems will go down (by any reason), the process would not be stopped.